02:00 PM LINE 9

25-CIV-04047 EDAS GILBERTO ISAULA GARCIA VS. SILICON VALLEY LOGISTICS, LLC

EDAS GILBERTO ISAULA GARCIA	KANE MOON
SILICON VALLEY LOGISTICS, LLC	TIM L. JOHNSON

Plaintiff's Motion for Preliminary Approval of Class and Representative Action Settlement

TENTATIVE RULING:

Plaintiff Edas Gilberto Isaula Garcia's Motion for Preliminary Approval of Class Action and PAGA Settlement is **GRANTED**. Plaintiff's counsel is **ORDERED TO APPEAR** to discuss a final approval hearing date.

The parties have agreed to a settlement in the amount of $150,000 of which the parties estimate the Net Settlement Amount to be $57,000. The Settlement allocates $15,000 to resolve the PAGA claims and provides for a payment of 75% of that amount, that is, $9,750 to the California Labor and Workforce Development. The remaining $5,250 will be distributed among the aggrieved employees. The Settlement provides for an estimated payment of $178.13 to each of the estimated 320 class members and $20.67 to each aggrieved employee.

In ruling on class action and PAGA settlements, this court has a duty to independently determine whether a settlement is fair, reasonable and adequate. (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76 77, disapproved of on other grounds by *Turrieta v. Lyft, Inc.* (2024) 16 Cal.5th 664 [a "trial court should evaluate a PAGA settlement to determine whether it is fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws."]; *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 129 ["'The court has a fiduciary responsibility as guardians of the rights of the absentee class members when deciding whether to approve a settlement agreement.' "]; *In re Microsoft I-V Cases* (2006) 135 Cal.App.4th 706, 723.)

Review of a proposed class action settlement typically involves a two-step process: preliminary approval and a subsequent final approval hearing. (*Cellphone Termination Fee Cases* (2009) 180 Cal.App.4th 1110, 1118; Cal. Rules of Court, rule 3.769; Code. Civ. Proc., § 581, subd. (k).)

Precertification settlements in class actions should be scrutinized carefully. (*Cho v. Seagate Technology Holdings, Inc.* (2009) 177 Cal.App.4th 734, 743 (*Cho*).) Precertification settlements are routinely approved where they are found fair, adequate and reasonable. (*Ibid.*; see also *Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 240 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) "'Due regard,' … 'should be given to what is otherwise a private consensual agreement between the parties. The inquiry "must be limited to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." [Citation.] . . .'" (*7–Eleven Owners for Fair Franchising v. Southland Corp.* (2000) 85 Cal.App.4th 1135, 1145, quoting *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1802 (*Dunk*).)

The test is not whether the maximum amount has been secured, but whether the settlement is reasonable under all circumstances. For example, a trial court does not abuse its discretion in approving a settlement when it found that the settlement was achieved at arm's length negotiation, including review of the mediator's declaration; the fact the case was vigorously litigated; plaintiff was represented by experienced counsel; the number of class members who objected or opted out was very small; and plaintiff faced considerable risk in proceeding to trial. (*Cho*, *supra*, 177 Cal.App.4th at p. 745.)

The trial court possesses a broad discretion to determine the fairness of the settlement; a discretion exercised through the application of a handful of identified criteria. Both the federal circuit courts and our Court of Appeal have adopted a mix of relevant considerations, including "[1] the strength of plaintiffs' case, [2] the risk, expense, complexity and likely duration of further litigation, [3] the risk of maintaining class action status through trial, [4] the amount offered in settlement, [5] the extent of discovery completed and the stage of the proceedings, [6] the experience and views of counsel, ... and [7] the reaction of the class members to the proposed settlement." (*Dunk*, *supra*, 48 Cal.App.4th at p. 1801.) The list of factors is not exhaustive and "should be tailored to each case." (*Ibid.*) *Dunk* states that, "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Ibid.*)

The court finds that the requirements for preliminary approval have been met.

The Settlement is preliminarily fair and reasonable. While the court places reliance on counsel's opinion, the court

> must also receive and consider enough information about the nature and magnitude of the claims being settled, as well as the impediments to recovery, to make an independent assessment of the reasonableness of the terms to which the parties have agreed. We do not suggest that the court should attempt to decide the merits of the case or to substitute its evaluation of the most appropriate settlement for that of the attorneys. However, as the court does when it approves a settlement as in good faith under Code of Civil Procedure section 877.6, the court must at least satisfy itself that the class settlement is within the 'ballpark' of reasonableness. (See *Tech–Bilt, Inc. v. Woodward–Clyde & Associates* (1985) 38 Cal.3d 488, 499–500, 213 Cal.Rptr. 256, 698 P.2d 159.) This the Court cannot do if it is not provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise.

(*Kullar*, *supra*, 168 Cal.App.4th at p. 133.)

In this case, the memorandum of points and authorities and declaration of Kane Moon provide information regarding each of these factors.

> **The Settlement was negotiated at arms-length.** Although the parties did not negotiate through a mediator, Class Counsel has demonstrated that negotiations were adversarial.

> **The Settlement is within the ballpark of reasonableness.** The parties negotiated a settlement in the amount of $150,000. Class Counsel has presented detailed liability and damages estimates based on their evaluation of the records received through informal discovery and discounted their estimates based on the risks inherent to class action litigation and specific defenses set forth by defendant. Settling now for a lesser amount than might be received at trial is reasonable given those risks, the cost of going forward, and the time value of money.

> **There has been sufficient investigation and discovery, and Class Counsel is experienced in similar litigation**. Class Counsel received relevant documents from defendant including a 30% sample of class member payroll and timekeeping records, defendant's written employment policies, and information regarding the class size. Mr. Moon of Moon Law Group, PC provides information as to his and his colleagues' experience in class action litigation. (Moon Decl., ¶¶ 50-73.)

The allocation of the Settlement between the class and PAGA claims is fair and reasonable. (*Nordstrom Com. Cases* (2010) 186 Cal.App.4th 576, 589 [finding no abuse of discretion to allocate nothing to PAGA in a PAGA/class settlement].) Further, plaintiff provided notice to the LWDA as required by Labor Code, section 2699.3, subdivision (a)(1)(A). (See MPA, at p. 2:23-27.) The LWDA has not objected to the Settlement. (See Moon Decl., ¶ 11, exh. 3.)

Plaintiff has provided information as to the following elements of class certification:

- **Numerosity/Ascertainability**: Plaintiff defines the class according to objective criteria, and the class members' identities are available from defendant's records. The class consists of approximately 320 individuals, making joinder impracticable.

- **Commonality**: Common issues predominate over whether defendant violated wage and hour laws.

- **Superiority**: The superiority requirement is satisfied based on the benefits and efficiencies of this proposed Settlement when compared to continued litigation of the case on either a class basis or through multiple individual lawsuits.

- **Typicality**: Plaintiff represents that his claims are the same as those of the class members he seeks to represent.

- **Adequacy of Representation:** Plaintiff has demonstrated that his counsel is adequate to represent the class. Plaintiff has also demonstrated through his declaration that he understood and complied with the responsibilities of serving as class representative.

Based on Class Counsel's representations, the court finds that plaintiff has demonstrated that certification of the class for this settlement is appropriate.

The contents of the settlement notice are substantively adequate. (Cal. Rules of Court, rule 3.769(f); *Martorana v. Marlin & Saltzman* (2009) 175 Cal.App.4th 685, 694.) The method of notice — first class mail — is sufficient to provide actual notice. (*City of San Diego v. Haas* (2012) 207 Cal.App.4th 472, 502; *Chavez v. Netflix*, Inc. (2008) 162 Cal.App.4th 43, 57; *Wershba*, *supra*, 91 Cal.App.4th at p. 251.)

ILYM Group, Inc. is a qualified settlement administrator and the court approves its retention, as well as the allocation of up to $8,000 for its services.

The court will award plaintiff up to $5,000 as a service award, based on his declaration, including the description of his contribution to the case, the absence of any repercussions or consequences from serving as class representative, and the average class member/aggrieved employee award.

The court will decide on attorneys' fees and costs, and the service award, at a hearing based upon a noticed motion, which will be heard on the same date as the hearing on final approval. Class Counsel is to submit evidence supporting each of these requests.

For the attorneys' fees award, counsel shall provide sufficient evidence so that the court can perform a lodestar cross-check, including either billing records or comparable evidence, including identifying which attorneys or support staff worked on each task, support for the hourly rate as reasonable in San Mateo County, and evidence, if any, supporting an award of a multiplier. The costs must be sufficiently identified so that the court can determine their reasonableness.

For the service award, the class representative must submit a declaration with specific facts regarding his contributions; general statements are insufficient. (*Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 805.) If the named plaintiff has any specific claims that are consideration for a general release or if has experienced specific reputational harm, plaintiff must identify these items for the court.

Some of this information has already been provided but should also be provided in the motion for attorneys' fees, costs, and service award.

If the tentative ruling is uncontested, it shall become the order of the court. Thereafter, plaintiff's counsel shall prepare a written order consistent with the court's ruling for the court's signature, pursuant to California Rules of Court, Rule 3.1312 and Local Rule 3.403(b)(iv), and provide written notice of the ruling to all parties who have appeared in this action. The order should be e-filed only, do not email or mail a hard copy to the court.

02:00 PM LINE 10

25-CIV-05067 STEPHEN NEVILLE, ET AL. VS. CITY OF BURLINGAME, ET AL.

STEPHEN NEVILLE	ERIN R. EZRA
CITY OF BURLINGAME	MARIA NOZZOLINO

Application of Steve Kantor to Appear Pro Hac Vice

TENTATIVE RULING:

The unopposed application of Steve Kantor to appear pro hac vice on behalf of plaintiffs is **DENIED without prejudice**. Counsel has not provided proof that the verified application and notice of hearing were served on the State Bar in compliance with California Rules of Court, rule 9.40(c). In addition, the proof of service indicates defendants were served with the application and notice of hearing on the same date they were filed. However, the hearing date was changed at the time of filing. To date, the court's record does not reflect filing and service of an amended notice.